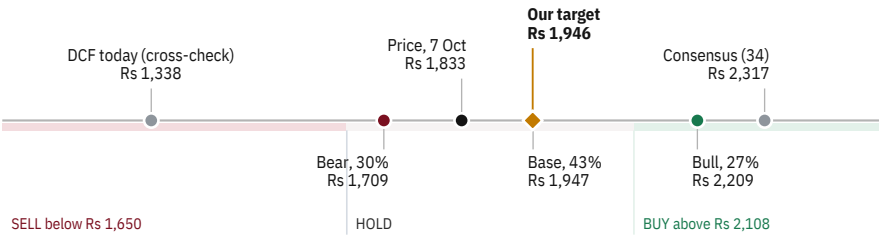


Bharti Airtel

Bharti Airtel Limited | NSE: BHARTIARTL

India's best telecom franchise, close to a fair price. We initiate with HOLD and a twelve-month target of Rs 1,946, 6.2% above the 7 Oct close of Rs 1,833; the Jio price band, due next week, can move the call either way.

Figure 1 Where every number sits: the target is 6.2% above the price, inside the HOLD band



Source: Model: Valuation_Bridge B and C, DCF E, Street A2 (MarketScreener consensus). Bands: Inputs D.

Bharti serves 376.5 mn mobile customers in India and, through Airtel Africa (79.11% owned), 189.0 mn in Africa; it also controls Indus Towers and Bharti Hexacom. Once the listed stakes are taken at market, the price pays 30.3x trailing EBIT for the India operations. Our target weights three outcomes for 7 Oct 2027, each a multiple of India EBIT. The market keeps today's multiple if a tariff rise comes by March 2027 and Jio lists at or above Hexacom's multiple (27%, Rs 2,209). India settles at Hexacom's multiple less 5% for the mix (43%, Rs 1,947). Or, with no rise by the Q1 FY28 results, India takes the discount the market applied in Bharti's worst stall since FY19 (30%, Rs 1,709).



The best franchise in Indian telecom

ARPU of Rs 263.9 a month, 22% above Jio's; India mobile earned a 60.2% EBITDA margin and 18.7% after tax on its net segment assets in FY26.



Priced for more tariff repair than we forecast

At an India WACC of 9.96% our DCF by part is Rs 1,338. The price needs India ARPU to grow 9.5% a year to FY31: 1.1 more steps the size of July 2024's beyond ours. Management guides to 4% or 5% from mix.



Dated catalysts, and a rule set in advance

The Jio price band (week from 12 Oct) and the Q1 FY28 results (by 14 Aug 2027) decide the outcome. Under the rule we print now, a band midpoint above US\$147 bn makes Bharti a BUY; one below US\$121 bn takes the target to Rs 1,720, a HOLD.

Why HOLD, and not BUY or SELL

The bull is a BUY at Rs 2,209 and the bear a HOLD at Rs 1,709. Weighted, the target is 6.2% above the price, inside the HOLD band of -10% to +15%; with the 1.6% FY27 dividend the expected total return is 7.8%. SELL is out of reach at any pair of weights, and BUY needs a bull weight of 61% with no bear.

What would make us wrong

Upward: a Jio band midpoint above US\$147 bn under our rule, or a tariff rise before 31 Mar 2027 with the band at or above Hexacom's multiple, which is the bull: Rs 2,209, a BUY. Downward: a band below US\$121 bn, where a lower press mark of Rs 11 lakh cr sits, takes the target to Rs 1,720, a HOLD. If rising rates made the market price Bharti at our cost of capital (R13), the 12-month DCF of Rs 1,470 sits Rs 476 below our target.

Recommendation

HOLD

12-month target

Rs 1,946

Price, 7 Oct 2026 **Rs 1,833**

Upside to target **6.2%**

Expected total return **7.8%**

Bear / base / bull **Rs 1,709 / 1,947 / 2,209**

Weights **30% / 43% / 27%**

Bands: BUY above +15%, SELL below -10%. Target date 7 Oct 2027. Total return adds the FY27 dividend.

Key data

Market capitalisation	Rs 1,143,975 cr
Enterprise value	Rs 1,440,132 cr
Net debt for valuation	Rs 187,407 cr
Shares outstanding	624.1 cr
52-week range	Rs 1,741 to 2,163
P/E, FY27E / FY28E	31.2x / 24.5x
WACC, India / Africa	9.96% / 14.03%

Key financials (Rs cr)

Rs cr	FY25A	FY26A	FY27E	FY28E
Revenue	172,985	210,973	242,989	274,212
Growth	15.3%	22.0%	15.2%	12.8%
EBITDA margin	53.9%	56.7%	56.5%	57.3%
Net profit	33,556	26,695	36,708	46,644
EPS (Rs)	56.0	44.4	58.8	74.7
FCFF	10,349	60,894	57,415	67,342

FY25A and FY26A as reported, after exceptional items. Net profit to owners.

Figure 2 A year to 7 Oct 2026: the stock 4.9% lower, the Nifty 10.0% lower



Source: Model, Price_History (NSE closes: Yahoo Finance, the pricing date from the NSE bhavcopy).

Where we differ from the street

	Street	Us
Target, consensus (Rs)	2,317	1,946
Rating, consensus	Buy	Hold
FY28E EBITDA, MOSL (Rs cr)	156,000	157,229
FY28E EPS, MOSL (Rs)	82.8	74.7

Consensus: MarketScreener, 34 analysts, 6 Oct 2026; targets Rs 1,785 to 2,750. Forecasts: Motilal Oswal, 1 Mar 2026, the only full public forecast, before the Q4 FY26 and Q1 FY27 results. EBITDA close to ours, EPS 8.0% lower: most of the gap is the multiple.

Section 2

Business description

Six segments under one name. India mobile earns 52.8% of segment EBITDA; Airtel Africa and Indus Towers are listed in their own right, and so is Bharti Hexacom, a slice of India mobile.

India mobile is the franchise

Bharti served 376.5 mn mobile customers in India at 30 June 2026 at an ARPU of Rs 263.9 a month, 30.0 mn of them on postpaid plans. Each used 34.4 GB of data a month, against 20.3 GB in Q4FY23. In FY26 the segment earned revenue of Rs 112,995 cr and EBITDA of Rs 68,035 cr, a margin of 60.2%. (Figure 3)

ARPU moves in steps, not in a line

ARPU rose 36.5% from Q4FY23 to Q1FY27. The July 2024 tariff rise lifted the March-quarter ARPU 17.2% in FY25 at once. Mix did as much over two years with no tariff move: postpaid, smartphone and data upgrades added 8.4% in FY23 and 8.3% in FY24, and 5.4% in Q1 FY27 on a year earlier. That source is thinning: 4G and 5G users rose from 61.6% of customers in FY22 to 76.5% in FY25, so we forecast mix at 4.5% then 4% a year, in line with management's 4% or 5%. (Figure 4)

What one customer earns, and what it costs

Per average India mobile customer, FY26 revenue was Rs 3,075 a year, EBITDA Rs 1,852 and capex Rs 499, leaving Rs 1,353 before tax. Our forecast takes that to Rs 2,087 by FY31E, almost all of it from ARPU, with capex per customer flat at about Rs 486. (Figure 5)

Africa, towers and the rest

Airtel Africa, listed in London, serves 189.0 mn customers at US\$2.71 a month and 56.5 mn Airtel Money users; it was 26.7% of FY26 revenue. Indus Towers (51.26% owned, listed) has been a subsidiary since November 2024 and rents 428.0 thousand co-locations, 55.1% of its revenue from Bharti itself. Homes (14.7 mn customers), Airtel Business and Digital TV make up the rest.

High returns on the books, ordinary on what was paid

After tax, India mobile earned 18.7% on its average net segment assets in FY26, well above our India WACC of 9.96%. Net assets are low because segment liabilities, mostly leases, offset the spectrum and goodwill. On gross assets the return is 9.6%, below the cost of capital: the licences were bought at prices today's ARPU does not yet repay. Airtel Business (32.8% net) and Africa (28.2%, against an Africa WACC of 14.0%) return the most; Homes (14.5%) and Indus (11.5%) clear the India WACC by less. (Figure 6)

So what

The value is India mobile, and India mobile's value is its price per customer. Everything that follows asks how much more of that price the market already counts.

Section 3

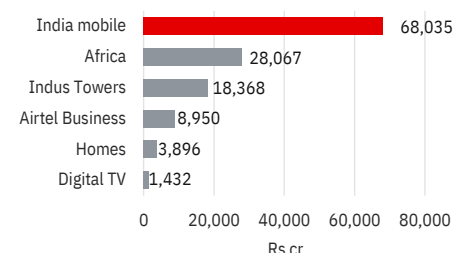
Industry overview

Three private operators share Indian mobile. Prices move in industry-wide steps, and the last step was July 2024.

Demand grows in data, not in people

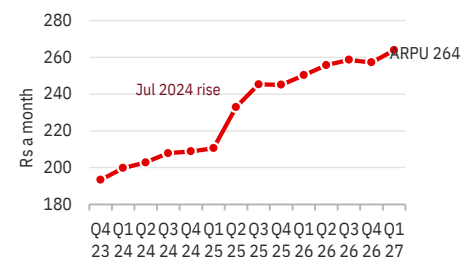
Bharti's India mobile customers grew 4.1% a year from FY16 to FY25, and its tower count 11.0% a year from FY19, while data use per customer kept climbing. Volume is not the constraint. The question is the price per customer, and in India it is set by the operators, not by a price regulator. (Figure 7)

Figure 3 Segment EBITDA, FY26: India mobile is 53% of the total



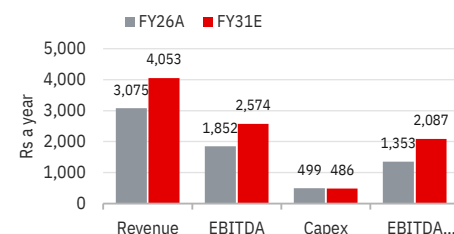
Source: Model, Operating_KPIs F (AR FY26 segment note; segment result less associates plus D&A).

Figure 4 India mobile ARPU by quarter: one tariff step, then mix



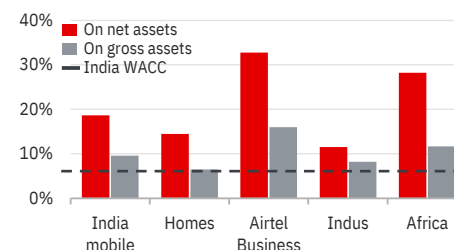
Source: Model, Quarterly C (company KPI workbooks).

Figure 5 What one India mobile customer earns a year, FY26A and FY31E



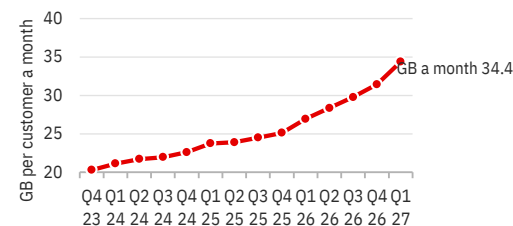
Source: Model, Unit_Returns D (average customers).

Figure 6 Post-tax return on segment capital, FY26, against the India WACC of 10.0%



Source: Model, Unit_Returns B; WACC E (Africa's own WACC is 14.0%).

Figure 7 Data use per customer keeps climbing; ARPU follows only in steps



Source: Model, Quarterly C (company KPI workbooks).

Three tariff rises doubled ARPU

Since 2019 the private operators have raised prepaid prices together three times: December 2019, November 2021 and July 2024. Bharti's March-quarter ARPU went from Rs 123 in FY19 to Rs 245 in FY25, 12.2% a year. The FY20 step added 25.2% and the FY25 step 17.2%; between steps ARPU grew with the mix. (Figure 8)

Who sets the price

Jio has the most customers (533.3 mn at 30 June 2026) at a lower price (ARPU Rs 215.6 in Q1FY27); Vodafone Idea is the weakest (Rs 190 in Q4FY26). Bharti earns 22% more per customer than Jio but cannot move prepaid prices alone: "we cannot do it single handedly", management said on the Q1FY27 call. Vodafone Idea's survival is less in doubt: on 31 December 2025 the Cabinet froze Rs 87,695 cr of its AGR dues, to be repaid over FY32 to FY41, which keeps three operators. Airtel also signed to distribute SpaceX's Starlink, subject to approvals (March 2025): a reach product, not a price-setter. (Figure 9)

Bharti moved first, on postpaid

On 7 October Bharti raised postpaid prices by Rs 50 a month from 8 October, moving existing customers within a month and bundling a free roaming trip a year. Postpaid is 30.0 mn customers, 8.0% of the base: if all of them pay, that is Rs 1,800 cr a year, 1.5% of FY27E India mobile revenue, or Rs 4.0 on blended ARPU. It is the first price move since July 2024, but not the prepaid round the bull needs: we leave it inside our organic ARPU growth and keep the weights.

The Jio listing is the next price signal

Press reports put the Jio Platforms subscription at 21 to 23 October and the listing at 28 October 2026; the price band is not out. They value Jio at US\$143 to 146 bn of enterprise value, 17.4x its annualised Q4FY26 EBITDA, for a fresh issue of about US\$3.8 bn, most of it to repay Jio's debt; a later report puts the valuation at Rs 11 lakh cr, about US\$114 bn. A band at or above Hexacom's multiple supports what the market pays for Indian mobile; one below it would be the first market price under it. The listing also ends Bharti's scarcity as the only large listed Indian mobile operator: index and foreign money with one name to own will have two. The street has called the next rise before: Morgan Stanley assumed 16% to 20% increases in 2026 (December 2025), and only the postpaid step has come; HSBC expects a prepaid round in Q1 CY2027 and Motilal Oswal in December 2026.

So what

Pricing power in India is collective, and its timing is not Bharti's to choose. That is why we weight the outcomes by dated events rather than by a view on the business.

Section 4

Competitive positioning

The highest ARPU and one of the highest margins among emerging-market operators. Scale buys pricing power only when Jio moves too.

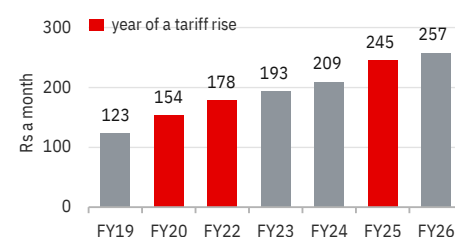
Fewer customers than Jio, more revenue per customer

Bharti's revenue market share reached 39.7% in Q4FY26, a record for the company, with 71% of Jio's customer count. The difference is price per customer: in Q4FY26 Bharti's ARPU was 20.2% above Jio's and 35.4% above Vodafone Idea's; in Q1FY27, 22.4% above Jio's. It rests on postpaid and smartphone users.

Margins at the top of the EM set

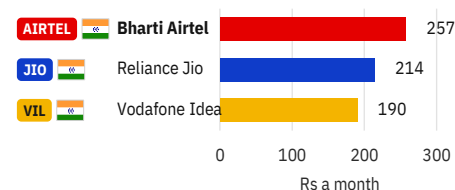
On twelve months to June 2026 the group's EBITDA margin was 56.9% against an EM operator median of 44.8%; its EBIT margin 32.1% against 23.7%; its return on equity 19.5% against 14.9%. Only True Corporation in Thailand prints a higher EBITDA margin. The listed India subsidiary, Hexacom, runs at 53.9%. (Figure 10)

Figure 8 India mobile ARPU, March quarter: three tariff rises doubled it



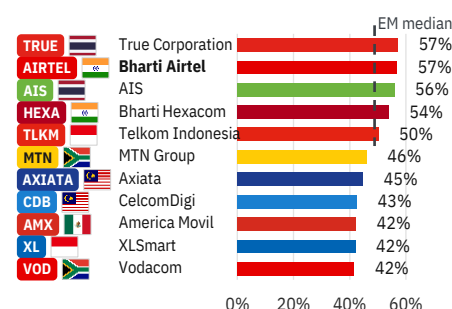
Source: Model, KPI_History A (Screener, checked against the company within 0.2%; FY21 not available); FY26 from Quarterly C.

Figure 9 ARPU, Q4FY26: Bharti earns a fifth more per customer than Jio



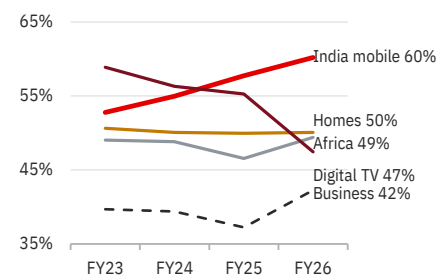
Source: Model, KPI_History D (Bharti KPI workbook; Jio and Vodafone Idea as reported, telecomtalk.info).

Figure 10 EBITDA margin, twelve months: Bharti against EM operators (median 44.8%)



Source: Model, Peer_Comparison (Yahoo Finance fundamentals; Bharti from the model).

Figure 11 Segment EBITDA margins, FY23 to FY26: mobile up, TV down



Source: Model, Operating_KPIs F.

Where scale does not help

Outside mobile the record is mixed. Homes nearly doubled its customers in two years, but ARPU fell from Rs 614.3 to Rs 522.9 a month as fixed wireless joined fibre in the mix. Digital TV's margin fell from 58.9% in FY23 to 47.5%, and Airtel Business revenue fell 4.2% in FY26. India mobile's margin rose from 52.8% to 60.2% over the same years. (Figure 11)

Management does what it says

We logged eleven pieces of guidance from the calls and filings since Q1 FY26. Of the four that have come due and been checked, three were delivered: a dividend above Rs 16 (Rs 24 recommended), Airtel Africa capex at its revised guidance (US\$884 mn) and lower net debt excluding leases. Fibre roll-out was partly met (2.0 mn homes a quarter against 2.5 mn). ARPU of Rs 300 and a gigawatt of data centres are still to come. (Figure 12)

So what

The premium is earned on returns, not on growth Bharti can deliver alone. It deserves a multiple above the EM median; Section 6 asks how far above.

Section 5

Investment thesis

Three claims hold up: the franchise is the best, tariffs will rise again, and cash is turning. The price assumes the second happens faster than management guides or we forecast.

Claim one: the best franchise. Tested: true

ARPU, margin and returns all lead the market (Sections 2 and 4). The test is the new money: India mobile capex fell to 16.2% of revenue in FY26 from 26.0% in FY25 while EBITDA rose. We use a 14% return on new capital after FY31, between the India WACC of 9.96% and the segment's 18.7%.

Claim two: tariffs will rise again. Tested: yes, but not as often as the price needs

Our forecast already includes one repair, 5% in FY28 and 3% in FY29, on top of organic growth of 4.5% then 4% a year: ARPU grows 5.7% a year to Rs 337.7 in FY31. Run through every formula in the model, the price needs 9.5% a year, Rs 401 by FY31, the equivalent of 1.1 more steps the size of July 2024's; 11.7% if costs and capex rose in step. The record since FY19 is 12.2% a year with three steps in six years, from a much lower base. (Figure 13)

Claim three: cash is turning. Tested: true, and priced

FCFF on one definition rose from Rs 7,234 cr in FY24 to Rs 60,894 cr in FY26 as spectrum payments fell and EBITDA grew. We forecast Rs 57,415 cr in FY27E and Rs 94,570 cr by FY31E. At the price that is a yield of 4.0% on EV in FY27E, rising to 6.6% in FY31E: a fair return for a business growing EBIT 14.6% a year, not a cheap one. (Figure 14)

What we do not pay for separately: data centres and fibre

Nxtra, the data centre arm, plans 1,000 MW by FY30 against 130 MW built, and Homes spends 87.6% of its revenue on capex: both sit inside India operations at the India multiple. A Nxtra stake sold at a data centre multiple would add value we do not count; a slower Homes payback would take value we already count.

What the three add up to

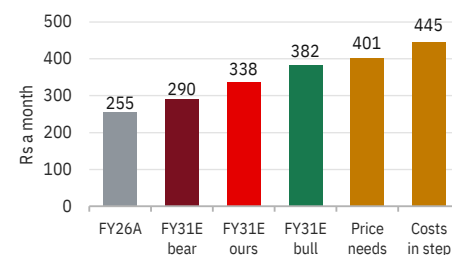
The business compounds; the price capitalises the compounding and more. Valued part by part, India and Indus at an India WACC of 9.96% and Airtel Africa at 14.03%, the DCF gives Rs 1,338 today, 27.0% below the price; the price implies an India WACC of 8.69%. A gap that size does not close with better forecasting: it is a view on the cost of capital, and the market has paid Bharti's multiple for years. So we value

Figure 12 Management said, management did: three of four delivered of those checked

Guidance	Target	Actual	Status
Dividend per share (Rs)	Higher than Rs 16	24	Delivered
Fibre home passes a quarter (mn a quarter)	2.5	2	Partly
Airtel Africa capex FY26 (USD mn)	Revised guidance	884	Delivered
Prepay high cost DoT debt and keep deleveraging (Rs mn)	Net debt ex leases down	910,485	Delivered
Hexacom capex FY26 (Rs mn)	Below FY25		Pending
India mobile ARPU (Rs a month)	300	263.9	Pending
Nxtra data centre capacity (MW)	1,000	130	Pending
Capital deployment outside India	None		Pending
Bharti Telecom stake in Bharti Airtel	51%		Pending
Airtel Africa capex FY27 (USD mn)	1,100	389	Pending
India radio capex	Lower radio capex		Pending

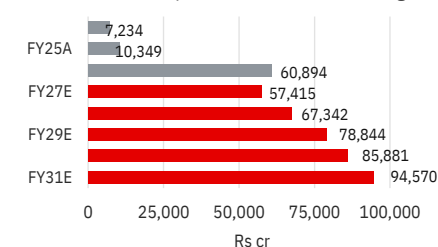
Source: Model, Guidance_Tracker (concall transcripts and filings, pages in the sheet).

Figure 13 India mobile ARPU in FY31: what the price needs against our cases



Source: Model, Segments A; Scenarios B and E (solved on every formula of the full model).

Figure 14 FCFF on one definition: the step came in FY26; FY27E capex holds it back, then it grows



Source: Model, FCF_Definition A (NOPAT + D&A - capex with spectrum - new leases - change in working capital).

the stock on the multiples the market pays, weight them by dated events, and keep the DCF as a cross-check and a named risk (R13).

So what

We agree with the bulls on the business and price it on the same multiples they do. We differ on how likely a late tariff rise is, and Section 6 puts a weight on it.

Section 6

Valuation

The sum of the parts, India operations on EV/EBIT, across three dated outcomes on one method: Rs 1,946, a HOLD. The bear comes from what the market paid in Bharti's own worst stall; the DCF is a cross-check.

The cash flow lenses sit below the price, and they are one lens

Our DCF, part by part, gives Rs 1,338. The Monte Carlo draws the same forecast at the same cost of capital, and none of its 10,000 draws lands above the price: the two share their inputs, so they are one lens, not two. At the target date, group EBIT at the EM median of 11.3x gives Rs 1,101, and at the 13.9x the regression of EM multiples on growth fits for Bharti, Rs 1,456; growth explains little of the spread (R squared 0.07), so neither is a value. What the cash flows do say is what the price implies on the full model: an India WACC of 8.69%, with Africa's moved by the same step to 12.76% (Reverse_DCF B), against our 9.96% and a bond yield of 7.24%. (Figure 15)

The same lens on every Indian telecom

This is not a Bharti anomaly. On a single-stage test at our terminal growth and returns, Bharti (7.6%), its India operations (7.0%), Hexacom (7.2%) and Tata Communications (7.1%) all price near the bond yield, and Indus (10.2%) at our India WACC. The market asks little premium for the risk that tariff repair comes late; we price that risk through the multiple and its weights, not the discount rate. (Figure 15)

What the price pays for India

Take Airtel Africa and Indus at market less a 20% holding discount, add India's share of net debt, the Hexacom minority at market and the other minorities at book: the price pays Rs 1,155,067 cr for the India operations, 30.3x their EBIT for the twelve months to June 2026. Hexacom, the 70%-owned listed subsidiary that runs India mobile in two circles, trades at 28.4x on the same lease basis (26.7x as it reports). India operations carry a 6.6% premium to their own listed subsidiary and 2.7 times the EM median. (Figures 16, 17)

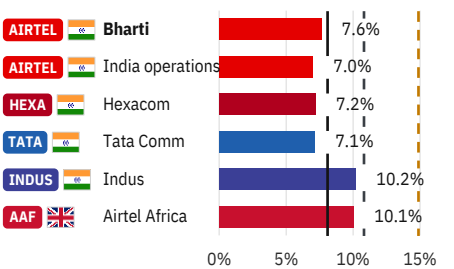
Three outcomes, one method

Each outcome applies an India EV/EBIT to the twelve months to June 2027 (Rs 43,964 cr, 15.2% above today's), adds the listed stakes rolled forward 8% less the holding discount, and deducts India's net debt at the target date. Bull: today's 30.3x holds, Rs 2,209. Base: Hexacom's 28.4x less 5% for the Homes, TV and enterprise mix, 27.0x; in the 16% of the base where the Jio band lands below Hexacom's multiple, that multiple is cut 10%. The base averages 26.5x, Rs 1,947. Bear: each branch of the base less the stall discount of 12.1%, on the bear world's India EBIT (Rs 43,355 cr, 1.4% lower because the repair slips a year): 23.5x, Rs 1,709. (Figure 18)

The bear comes from Bharti's own stalls

At the eight March year ends from FY19 to FY26, Bharti traded between 9.3x and 13.7x EBITDA, a median of 10.6x. Five of them came after a year or more with no tariff rise. The lowest of those, 9.3x in March 2023, 16 months after the November 2021 rise, sat 12.1% below the median: that is the discount the bear takes off the base. Stalls do not always derate (March 2024, 28 months on, was 12.0x), so this is the harsh reading of the record. FY19 to FY22 are on Screener's figures; for March

Figure 15 The cost of capital each price implies: Indian mobile near the 7.2% bond yield



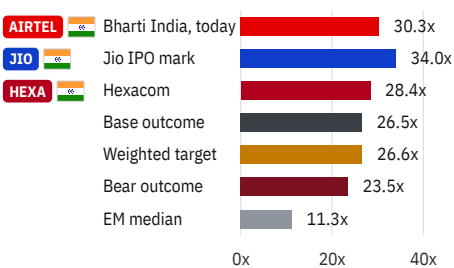
Source: Model, Peer_DCF_Test A (single stage at our terminal growth and RONIC); WACC E; Inputs B. Lines: bond yield 7.2% (solid), India WACC 10.0% (grey dash), Africa WACC 14.0% (amber dash).

Figure 16 From market value to what the price pays for India operations

Rs cr	Value
Bharti market capitalisation	1,143,975
Less Airtel Africa and Indus at market, less 20%	(133,958)
Add India net debt with leases and dues	119,493
Add Hexacom minority at market	22,189
Add other minorities at book	8,569
Less non-operating assets	(5,201)
India operations EV implied by the price	1,155,067
India EBIT, twelve months to Jun-26	38,167
India operations EV/EBIT	30.3x

Source: Model, SOTP B (Minorities A, Net_Debt D, Parts_Implied A). Rs cr.

Figure 17 India operations EV/EBIT: what the price pays against the yardsticks



Source: Model, SOTP B, Parts_Implied B and C, Valuation_Bridge B, C and C5, Peer_Comparison. Jio has no EBIT: its press-mark EV/EBITDA at India operations' EBITDA to EBIT.

Figure 18 Three outcomes at 7 Oct 2027 on one method

Outcome	India EV/EBIT	Rs a share	Weight
Bull: today's multiple	30.3x	2,209	27%
Base: Hexacom less 5%, cut if the Jio band is low	26.5x	1,947	43%
Bear: the base less the stall discount	23.5x	1,709	30%
Target	26.6x	1,946	100%

Source: Model, Valuation_Bridge B (India EBIT twelve months to Jun-27, the bear on SOTP A2; stakes rolled; net debt at the target date).

2023 the two bases agree within 1% (9.35x against 9.34x). On the same basis at the target date, on EBITDA to June 2027, the bull is 10.8x, the base 9.6x, the target 9.6x and the bear 8.6x: the bear sits below every March year end since FY19; the bull, the base and the target sit inside the eight-year range. At the stall multiple itself the bear would be Rs 1,872 and the target Rs 1,995, a HOLD. (Figure 19)

Why those weights

The weights come from three dated events, not a mood. A tariff rise announced by 31 March 2027: 30%. No rise by the Q1 FY28 results, due by 14 August 2027: 30%. A Jio band below Hexacom's multiple: 10%. The bull needs an early rise and a band at or above it: 27%. The bear is no rise by the results: 30%. The base is the rest, 43%. The last two gaps between rises were 23 and 31 months; none by the results would be 37. (Figure 20)

The timing inside the weights is the softest judgement: a monthly chance of a rise of 5.8% to March 2027 and 19.1% after, 3.3x as high (Jio's first listed quarters and four state elections fall in the window). With no step-up the target is Rs 1,883, a HOLD; with one even rate, Rs 1,991, a HOLD.

The Jio band: the rule we set now

Hexacom stays the base anchor until Jio has a price band: it is a traded price for Bharti's own circles, and the US\$143 to 146 bn figure for Jio is a press estimate. We commit to the rule now. Once the band is out, the base multiple is the average of Hexacom's and Jio's at the band midpoint, less the 5% mix discount, and the bear follows the base. Jio publishes no EBIT, so its EV/EBITDA converts at India operations' ratio of EBITDA to EBIT (1.95x): the press mark, 17.4x, is 34.0x India EBIT. At the press mark the rule gives a base of 29.6x and a target of Rs 2,095, 14.3% up: still a HOLD. The call turns BUY at a band midpoint of 17.7x EBITDA, an EV of US\$147.1 bn. Below US\$120.8 bn, 16% under the press midpoint, Jio would list below Hexacom's multiple: the bull falls away and the target is Rs 1,720, a HOLD. A later report, cited by Motilal Oswal on 7 October, puts Jio at Rs 11 lakh cr, about US\$114 bn: if that is the band's enterprise value it sits 5.9% under the line, and the target is Rs 1,720, a HOLD.

The target, and what flips it

Weighted, the target is Rs 1,946, 6.2% above the price: HOLD. With the FY27 dividend of 1.6% the expected total return is 7.8%. The weighted India multiple is 26.6x, 12% below today's: this is still a derating call, and its catalysts are dated. SELL is out of reach at any pair of weights. BUY needs a bull weight of 61% with no bear, or a Jio band above US\$147 bn. The Monte Carlo holds the weights and multiples and draws the forecast from ranges that lean down: its median target is Rs 1,926 and 100% of draws are a HOLD. It tests the forecast, not the rating.

(Figures 21, 22)

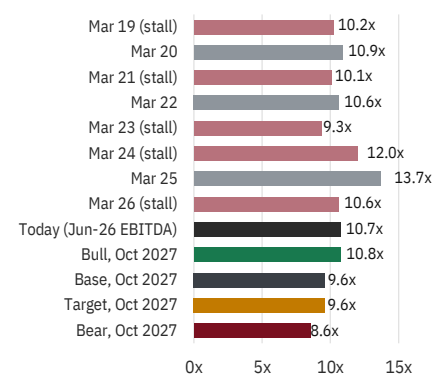
The cost of capital, part by part

The riskless rate in rupees is the 10-year bond yield of 7.243% less India's default spread of 1.868%: 5.38%. A beta of 0.73, relevered from the 0.65 median of nine EM operators, applies to the mature premium of 4.23% plus each part's country premium: India 2.85%; Africa 9.30%, weighted by revenue across the twelve Airtel Africa markets we can rate (Chad and Seychelles sit inside the Francophone split). That gives a cost of equity of 10.57% for India and 15.30% for Africa. Debt costs 8.40% before tax across spectrum and AGR dues, loans and leases. WACC: 9.96% for India operations and Indus, 14.03% for Airtel Africa. Each part is valued at its own rate, with its minorities out on the same basis. One group WACC on revenue-weighted risk, 11.30%, charges Africa's risk on India's cash flows and gave Rs 1,199. The target does not move with any of these: none of its outcomes is a DCF.

(Figures 23, 24)

Growth fades before it stops. Five forecast years, timed at mid-year from 30 June 2026, are followed by a five-year fade: NOPAT growth falls in a straight line to 5.38%, our 5.5% judgement capped at the riskless rate, and reinvestment moves in a straight line from FY31's rate to growth over a 14% return on new capital, so

Figure 19 Bharti's own EV/EBITDA at eight March year ends, and the outcomes on the same basis



Source: Model, Valuation_Bridge C4. Market value on that year's shares (FY19 to FY22 fully paid at the year end, Screener; FY23 on, diluted), net debt with leases, minorities at book; each year end on that year's EBITDA, the outcomes on the twelve months to Jun-27. Stall: no tariff rise in the twelve months to the year end. Eight-year median 10.6x. Peer and parts tables use consolidated EV with minorities at market.

Figure 20 What resolves the call, and when

By	Event	Weight	Then
12 Oct wk	Jio band below US\$121 bn		Rs 1,720, HOLD
12 Oct wk	Jio band at the press mark		Rs 2,095, HOLD
12 Oct wk	Jio band above US\$147 bn		BUY under the rule
31 Mar 27	Tariff rise, band at or above Hexacom	27%	Rs 2,209, BUY
14 Aug 27	No rise by the Q1 FY28 results	30%	Rs 1,709, HOLD
	Anything else	43%	Rs 1,947, HOLD

Weights are the three outcomes and add to 100%. The low band (10% chance) sits inside the base and the bear.

Source: Model, Inputs D (event tree), Valuation_Bridge C2 and C5, Watch_List.

Figure 21 Target at every pair of weights shown: HOLD in every cell

Bear \ bull	0%	10%	20%	25%	30%	40%
10%	1,923	1,949	1,976	1,989	2,002	2,028
20%	1,899	1,926	1,952	1,965	1,978	2,004
25%	1,887	1,914	1,940	1,953	1,966	1,992
30%	1,876	1,902	1,928	1,941	1,954	1,980
35%	1,864	1,890	1,916	1,929	1,942	1,969
40%	1,852	1,878	1,904	1,917	1,930	1,957
50%	1,828	1,854	1,880	1,893	1,907	1,933
60%	1,804	1,830	1,857	1,870	1,883	1,909

□ nearest our weights (30% bear, 27% bull)

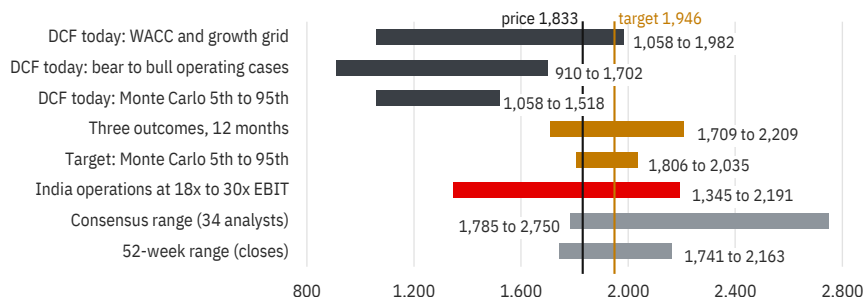
Source: Model, Valuation_Bridge D (rows: bear weight; columns: bull weight; the base takes the rest).

nothing jumps when the fade starts. 74.2% of the EV comes after FY31: the DCF is a view on the long run.

What each driver is worth

Half a point of WACC moves the DCF Rs 159 and the target not at all; two points of return on new capital, Rs 81 on the DCF. One more 5% tariff step is worth Rs 58 on the DCF and Rs 23 on the target; a point of mobile margin, Rs 26 and Rs 50. The target moves with near-term EBIT and the multiples, the DCF with the long run and the discount rate. (Figures 25, 26)

Figure 26 Football field: every method against the price and the target (Rs a share)



Source: Model, Valuation_Bridge E (Sensitivity, Scenarios B, Monte_Carlo B, SOTP D, Street A2, Inputs A).

Where we differ from the street

The MarketScreener consensus of 34 analysts on 6 Oct 2026 is a BUY, with an average target of Rs 2,317 (Rs 1,785 to 2,750), 26.4% above the price; ours is 16.0% lower. The only full public forecast is Motilal Oswal's of 1 March 2026, before two results: our FY27E revenue is within 1.2% of it and EBITDA within 0.9%; our EPS is 8.0% lower, mostly on tax and minorities. The gap is the multiple: the street capitalises a tariff rise soon (Motilal Oswal now assumes about 15% in December 2026), as Morgan Stanley did for 2026; we put 30% on none by the Q1 FY28 results. (Figures 27, 28)

So what

Upside to the bull is 20.5%, downside to the bear 6.8%, and the expected total return 7.8%: HOLD. The Jio band decides the next move: above US\$147 bn we would upgrade to BUY; below US\$121 bn the target falls to Rs 1,720, still a HOLD.

Section 7

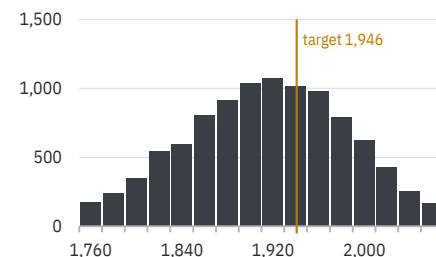
Financial analysis

Revenue grows 10.9% a year to FY31E and EBIT 14.6%: margins rise as capex intensity falls from its 5G peak. Cash builds and the balance sheet turns to net cash.

The latest quarter ran ahead of FY26

Q1 FY27 revenue rose 18.4% on Q1 FY26 and EBITDA on the company basis 19.3%. India mobile revenue grew 9.2% with ARPU up 5.4% and no tariff move; Homes grew 33.2%; Africa grew 21.1% in constant currency and 30.9% in US\$ as its currencies firmed. Capex rose 61.1% on a light Q1 FY26, so we set FY27 capex at the Q1 rates by segment: Rs 51,143 cr. Management expects "a period of rapid capex spend" on data centres and "will not hold back on capex" (Q1 FY27 call). If FY27 followed FY26's quarterly pattern capex would be Rs 76,577 cr and the target Rs 1,905, still a HOLD. Revenue is the other check: our FY27E needs Q2 to Q4 to average 5.0% above Q1, against 8.8% a year earlier, when the rupee fell from 85.4 to 91.7 to the US\$ through the year and lifted Africa in rupees. We assume 95.5 for FY27, against 96.8 on the pricing date, and keep the forecast. (Figure 29)

Figure 22 The target across 10,000 draws of the forecast: median Rs 1,926, 100% HOLD



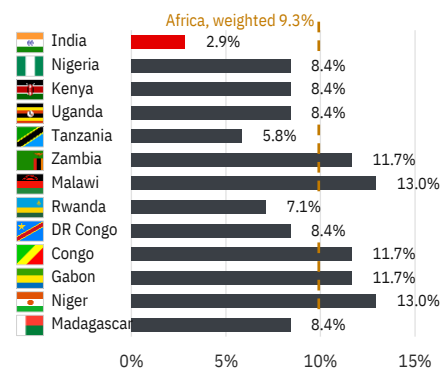
Source: Model, Monte_Carlo A and E (eight drivers, triangles that lean down in six; India mobile drivers correlated at 0.5; weights and multiples held).

Figure 23 Cost of capital: each part at its own country risk

Input	India	Africa
Bond yield less default spread	5.38%	5.38%
Mature equity risk premium	4.23%	4.23%
Country risk premium	2.85%	9.30%
Beta, relevered	0.73	0.73
Cost of equity	10.57%	15.30%
Cost of debt, pre-tax (the stack)	8.40%	8.40%
Equity weight	85.9%	85.9%
WACC	9.96%	14.03%
Memo: one group WACC	11.30%	
Terminal growth / RONIC	5.38% / 14%	

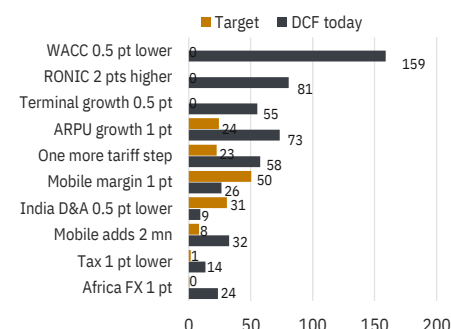
Source: Model, WACC A to E; Inputs B, C and E (Damodaran Jan 2026; bond yield 7 Oct 2026).

Figure 24 Country risk where the revenue is earned: India 2.85%, Africa 9.30% weighted



Source: Model, Inputs E (Damodaran country risk premiums, Jan 2026; weights from AR FY26 p501 and Airtel Africa's regional split).

Figure 25 What each driver is worth, Rs a share (one shock, up)

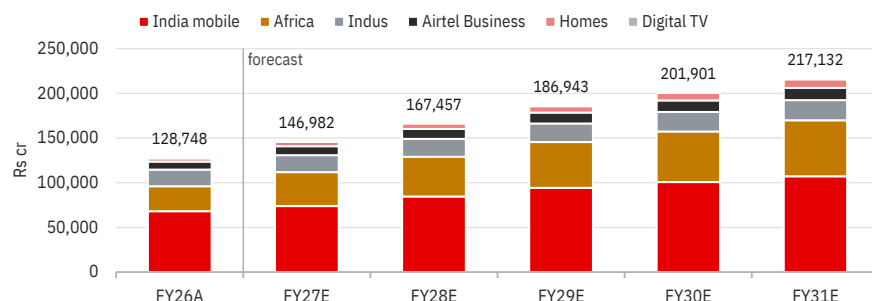


Source: Model, Scenarios C (each shock alone through the full model).

Growth: Africa and a full year of Indus lift FY26 and FY27

Revenue rose 22.0% in FY26 to Rs 210,973 cr, with a full year of Indus and a stronger Africa in rupees. We forecast 15.2% in FY27E and Rs 354,228 cr by FY31E: India mobile from customers and ARPU, Africa in US\$ translated at a rupee that weakens 2.5% a year from FY28. (Figure 30)

Figure 30 EBITDA by segment, FY26A to FY31E: India mobile carries the growth



Source: Model, Segments A to F (sum of segment EBITDA, before eliminations).

Margin: network costs fall as a share, licence fees do not

EBITDA margin goes from 56.7% in FY26 to 58.0% in FY31E. Network costs fall from 18.8% of revenue to 18.0% as tenancies and energy scale; licence fees stay near 7.3% because they are levied on revenue. D&A, built by segment, falls from 25.0% of revenue to 20.7% as India's 5G build matures, so EBIT margin rises further, from 31.7% to 37.3%. (Figure 31)

Capex: the peak has passed

Capex with spectrum took 35.3% of revenue in FY25 and 22.5% in FY26 as 5G radio spending eased and spectrum payments fell to Rs 855 cr. We forecast 21.9% in FY27E, falling to 17.0% by FY31E, with Rs 6,000 cr a year of spectrum renewals from FY28. Capex stays above the depreciation of plant (Rs 31,235 cr in FY26, our only proxy for maintenance capex), so the network still grows; total D&A, which also covers leases and spectrum, is larger. (Figure 32)

Cash conversion and working capital

Cash from operations was 102.1% of EBITDA in FY26. Working capital is negative, 141.7 days of revenue: customers prepay and suppliers wait. We hold it at 140 days, so growth releases cash every year: Rs 11,306 cr in FY27E, on the way to FCFF of Rs 57,415 cr. (Figure 33)

Returns are rising from a low base

Return on equity was 20.3% in FY26 (FY25's 34.3% included tax credits and exceptional gains); post-tax ROCE excluding cash rose from 9.4% in FY24 to 14.4%. The forecast reinvests less than its total D&A (-2.3% in FY27E), helped by working capital that releases cash.

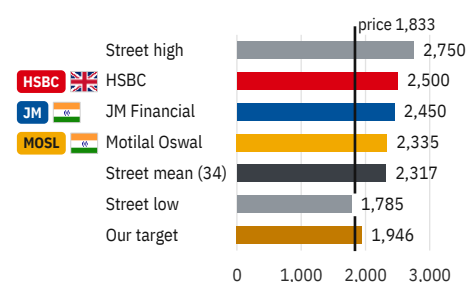
Balance sheet: from 1.5x EBITDA to net cash

Net debt for valuation, with leases, deferred spectrum and AGR dues, the AGR provision and the FY26 final dividend, was Rs 187,407 cr at 30 June 2026, 1.5x twelve-month EBITDA. The AGR instalments (Rs 34,386 cr at March 2026) are paid off by FY31E, and we forecast net cash of Rs 30,851 cr by then with no buyback. Moody's (Baa2) and S&P (BBB+) upgraded Bharti in the past year; Crisil rates it AAA. (Figure 34)

Capital allocation: buying in the group, paying out more

Bharti has used its cash to consolidate what it already runs. Indus became a subsidiary in November 2024; minorities were bought for Rs 3,735 cr in FY25 and Rs 1,906 cr in FY26; and in Q1 FY27 Bharti issued 146.8 mn shares to ICIL for its Airtel Africa shares, taking the stake we value to 79.11% at 30 June. The rights issue's final call brought in Rs 15,695 cr in FY26. Dividends paid rose to Rs 11,328 cr, and the FY26 final costs Rs 14,625 cr.

Figure 27 Street targets against ours: consensus average Rs 2,317, a BUY



Source: Model, Street A and A2 (MarketScreener consensus, 6 Oct 2026; broker targets: communicationstoday.co.in, 7 Aug 2026).

Figure 28 Our forecast against Motilal Oswal: close on operations, apart on EPS

	MOSL FY27E	Ours FY27E	Gap	Gap FY28E
Revenue	240,000	242,989	1.2%	1.9%
EBITDA	138,500	137,309	-0.9%	0.8%
EPS	63.9	58.8	-8.0%	-9.7%
Capex ex spectrum	46,300	51,143	10.5%	11.0%
FCF after interest and leases (MOSL basis)	57,700	53,249	-7.7%	-11.0%

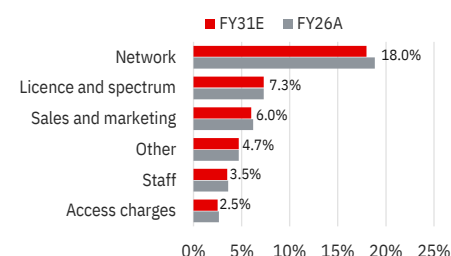
Source: Model, Street B (Motilal Oswal note of 1 Mar 2026, before the Q4 FY26 and Q1 FY27 results; Rs cr except EPS). Our FCFF is defined in Section 5.

Figure 29 Q1 FY27 against Q1 FY26: growth ahead of the year (Rs mn)

Rs mn	Q1 FY26	Q1 FY27	Change
Revenue	494,626	585,391	18.4%
EBITDA, company basis	281,668	335,986	19.3%
India mobile revenue	273,966	299,289	9.2%
India mobile ARPU (Rs)	250.3	263.9	5.4%
Homes revenue	17,179	22,875	33.2%
Africa revenue, constant currency (US\$ mn)	1,515.7	1,836.0	21.1%
Capex	83,070	133,860	61.1%

Source: Model, Quarterly A and B (company KPI workbooks).

Figure 31 Cost lines as a share of revenue, FY26A and FY31E



Source: Model, Forecast A.

Earnings

EPS rises from Rs 44.4 in FY26 after exceptional items (Rs 48.9 before them, at a 23.4% tax rate) to Rs 58.8 in FY27E and Rs 74.7 in FY28E: a P/E of 31.2x and 24.5x at the price. We assume a 50% payout: Rs 29.4 a share in FY27E, a 1.6% yield.

So what

The financials support the business case without heroic assumptions. They do not support the price on their own: that takes the multiple.

Section 8

ESG and governance

For a telecom operator the material issues are energy, data security and dues to the state. Governance is about a controlling shareholder that has borrowed against the stock.

Energy and emissions are disclosed and falling

Scope 1 and 2 emissions fell to 911,950 tCO₂e in FY26 from 1,102,249 in FY25, against a validated target of a 50.2% cut by FY31 from FY21. Renewable energy reached 322,119 MWh in own operations; its share of all energy is not disclosed in the annual report. (Figure 35)

Dues to the state are counted as debt

Deferred spectrum and AGR dues are debt in our valuation, and so is the AGR provision Bharti expects to bear: Rs 15,543 cr after the Tata and Telenor indemnities. A further Rs 19,184 cr of contingent claims is not provided for; we value it at Rs 31 a share in the risk register.

Who owns Bharti

Promoters held 48.87% at 31 March 2026, foreign portfolio investors 27.79% and mutual funds 12.03%. The controlling holder is Bharti Telecom, with 39.51% at 30 June 2026; the Bharti family owns 50.56% of it and Singtel 49.44%. Counting its direct holding, Singtel's look-through stake is about 27.9%. The chairman wants Bharti Telecom back to 51%: "10% more to go" (Q4 FY26 call). (Figure 36)

The holding company has borrowed against the stock

Bharti Telecom and its parents owed Rs 46,050 cr in July 2026, Rs 6,075 cr more than in February after funding the rights issue call. That is 10.2% of the value of its stake at the market price, but 12.1x the Rs 3,800 cr of dividends it received in FY26, and Crisil lists a sharp fall in Bharti's market value as a downgrade trigger. The structure favours dividends and resists dilution. It also makes a block sale by Singtel the most likely source of new supply (R6); Appendix 4 has the figures.

A new chief executive for India; the previous one stays in the group

Management changed on 1 January 2026. Shashwat Sharma became managing director and chief executive of Bharti Airtel India; Gopal Vittal moved up to executive vice chairman; Soumen Ray became group chief financial officer and Akhil Garg chief financial officer for India. The new chief executive's first test is the next tariff round.

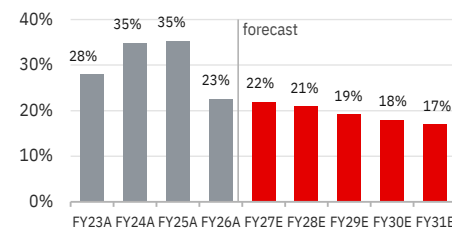
Related parties

The largest related-party flow in FY26 was equipment bought from Dixon Electro Appliances, an associate in which the group's Beitel Teletech holds 49%: Rs 2,636 cr, on terms not disclosed. It is an open item, not a finding.

So what

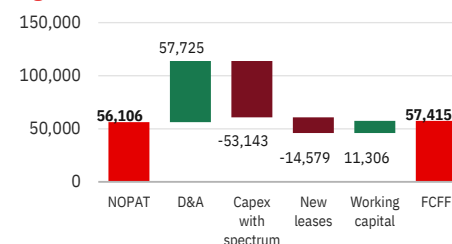
No ESG issue here changes the value. The governance point changes the risk: supply from the promoter group is the event most likely to move the price without moving the value.

Figure 32 Capex with spectrum over revenue: the peak was FY25



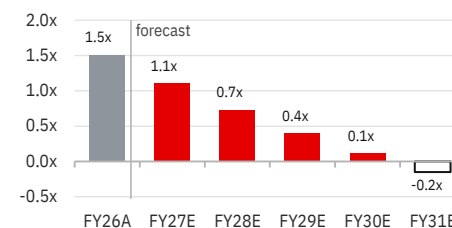
Source: Model, Hist_Financials D (cash basis, FY23 to FY26); Forecast B (FY27E on).

Figure 33 From NOPAT to FCFF, FY27E (Rs cr)



Source: Model, Forecast A and B; FCF_Definition A.

Figure 34 Net debt to EBITDA: net cash by FY31E



Source: Model, Debt_Schedule D (net debt with leases, deferred dues and the AGR provision, company cash; year ends).

Figure 35 What we can evidence on ESG, and what is missing

Emissions disclosed, and the trend	✓ Evidenced
Scope 1 and 2: 911,950 tCO ₂ e in FY26 against 1,102,249 in FY25 (down 17%); Scope 3: 6,656,560 tCO ₂ e	
Science-based target	✓ Evidenced
Scope 1 and 2 down 50.2% by FY31 from FY21 and Scope 3 down 42% (SBTi near-term); net zero by 2050 planned	
Renewable energy	⚡ Partial
322,119 MWh of renewable energy (standalone), up 24%; its share of all energy not found	
Board independence and diversity	✓ Evidenced
12 directors at 31 Mar 2026: 6 independent (50%), 3 women (25%)	
Data security	⚡ Partial
ISO certified for information security and for business continuity; incidents and fines not disclosed in the pages cited	
Workforce diversity	⚡ Partial
Women 20.4% of employees (up 10%), 15.7% of top management	
Related parties and the holding structure	⚡ Partial
Controlled by Bharti Telecom (Bharti family 50.56%, Singtel 49.44%). Largest FY26 flow: Rs 2,636 cr of equipment from the associate Dixon Electro Appliances; terms not disclosed	

Source: Model, ESG_Evidence (AR FY26 pages as listed there).

Section 9

Investment risks

The largest risks sit in the multiple: the Jio band next week, and rates that could make the market price Bharti on its cash flows.

Thirteen risks, each tied to a model lever, valued on the full model and scored for probability and for its rupee effect on the target. (Figures 37, 38)

The multiple carries the largest risks

If the market priced Bharti at our cost of capital, the DCF at the target date, Rs 1,470, sits Rs 476 below our target (R13, a score of 10). A Jio band below Hexacom's multiple takes the target down Rs 227, to Rs 1,720, a HOLD (R10). Ten more points of probability on no tariff rise cost Rs 24 (R9).

Rates and flows are moving against the multiple

On 7 October the RBI's monetary policy committee raised the repo rate unanimously from 5.25% to 5.50% and moved to calibrated tightening; SBI Research and Nomura expect another 25 bp in December, to 5.75%. The 10-year yield closed at 7.24% and the rupee at 96.8 to the US\$, and foreign portfolio investors sold more than Rs 3 lakh cr of Indian equities from January to September (press reports). Higher rates do not move our target, which is on multiples. They are the channel through which the market could stop pricing Indian telecom near the bond yield: R13.

Operating risks: competition, tariffs, regulation and Africa

Competition is the largest. A recapitalised Vodafone Idea, now with its AGR dues deferred to FY32, or a listed Jio buying share with price, would halve our India mobile net additions and take a point a year off organic ARPU growth: Rs 48 off the target and Rs 138 off the DCF, a score of 9.

No repair at all in FY28 or FY29 costs Rs 23 on the target. A point off India segment margins from a licence fee or spectrum ruling costs Rs 66. A naira-style devaluation of 10% across Africa costs Rs 46 on the DCF and Rs 4 on the target: every outcome holds Airtel Africa at its own market price, so the currency reaches the target only through net debt.

Risks to our own call

Figure 21 prints the target at every pair of weights it shows: HOLD in every cell. Nor does the forecast break the rating: with the India mobile drivers moving together far more than we assume, 0% of Monte Carlo draws are a SELL (Appendix 4).

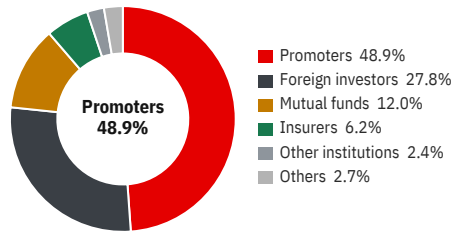
What we watch, and when

From 8 Oct 2026	Airtel postpaid plans Rs 50 a month dearer (announced 7 Oct); existing customers move within a month. Postpaid alone sits inside our organic ARPU growth. Jio and Vi moving on prepaid by 31 Mar 2027 would be the bull's tariff leg
Week from 12 Oct 2026	Jio Platforms price band (red herring prospectus); press reports put subscription at 21-23 Oct and listing at 28 Oct. Below about US\$121 bn (Hexacom's multiple): target Rs 1,720, HOLD. Above about US\$147 bn: BUY on the rule (C5)
By 14 Nov 2026	Bharti Q2 FY27 results (within 45 days of the quarter end). Organic ARPU growth below 3% a year would point to the low operating case (Scenarios B)
4 Dec 2026	RBI decision (meeting 2 to 4 Dec): the repo rate is 5.50% after the 7 Oct hike; SBI Research and Nomura expected another 25 bp. Moves the DCF and the rates risk (R13), not the outcomes: none of them uses the DCF
By 31 Mar 2027	A tariff rise announced: the bull's tariff leg. With the Jio band at or above Hexacom's multiple: the bull outcome, Rs 2,209, BUY
By 14 Aug 2027	Q1 FY28 results: the bear trigger if no tariff rise has come. No rise: the bear outcome, Rs 1,709, HOLD

So what

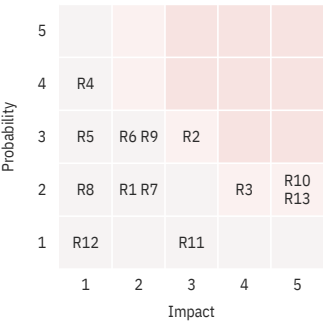
The risk in Bharti is the price of the multiple, and its catalysts are dated: the first comes next week.

Figure 36 Who owns the shares, 31 Mar 2026



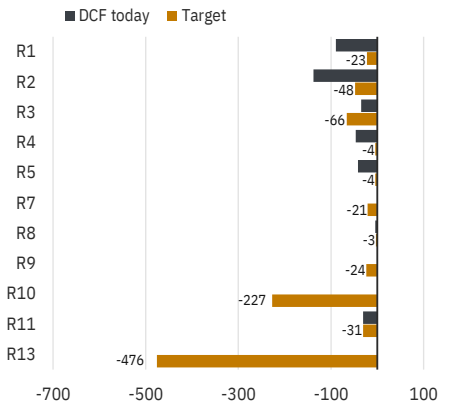
Source: Model, Ownership A (AR FY26 p314 to p315).

Figure 37 Risk register: probability against impact



Source: Model, Risk_Register (impact set by the effect on the target; R6, a block sale, by judgement).

Figure 38 Each risk in rupees a share: the target moves less than the DCF on operations, more on the multiple



Source: Model, Risk_Register (Scenarios D for R1 to R8; R9 to R11 and R13 live). Labels: the target. R6 and R12 have no value effect.

Appendix 1. Financial statements, returns and operating data

Profit and loss (Rs cr)

Rs cr	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	149,982	172,985	210,973	242,989	274,212	303,815	328,832	354,228
Growth	7.8%	15.3%	22.0%	15.2%	12.8%	10.8%	8.2%	7.7%
EBITDA	78,292	93,159	119,675	137,309	157,229	176,200	190,680	205,423
EBITDA margin	52.2%	53.9%	56.7%	56.5%	57.3%	58.0%	58.0%	58.0%
Depreciation and amortisation	39,538	45,570	52,711	57,725	62,654	66,571	69,914	73,199
EBIT	38,754	47,589	66,964	79,583	94,575	109,629	120,767	132,224
Finance cost	22,648	21,754	21,555	19,523	19,026	18,533	18,533	18,587
Other income	1,435	1,574	2,817	3,037	4,736	6,916	9,559	12,445
Share of associates	2,709	3,703	365	400	400	400	400	400
Exceptional items, charge	7,572	(7,287)	3,418					
Profit before tax	12,679	38,399	45,173	63,498	80,685	98,412	112,192	126,482
Tax	4,121	917	11,350	18,732	23,802	29,032	33,097	37,312
Minorities	1,091	3,925	7,128	8,058	10,239	12,488	14,237	16,051
Net profit to owners	7,467	33,556	26,695	36,708	46,644	56,892	64,858	73,119
EPS (Rs)	12.8	56.0	44.4	58.8	74.7	91.2	103.9	117.2
DPS (Rs)			24.0	29.4	37.4	45.6	52.0	58.6

FY24A to FY26A as reported. Profit before tax = EBIT - finance cost + other income + associates - exceptional items; forecasts carry none.

Free cash flow on one definition (Rs cr)

Rs cr	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
EBIT	38,754	47,589	66,964	79,583	94,575	109,629	120,767	132,224
Less tax on EBIT	(7,886)	(1,403)	(15,642)	(23,477)	(27,900)	(32,340)	(35,626)	(39,006)
NOPAT	30,868	46,186	51,322	56,106	66,676	77,288	85,141	93,218
Add D&A	39,538	45,570	52,711	57,725	62,654	66,571	69,914	73,199
Less capex with spectrum	(52,206)	(61,029)	(47,569)	(53,143)	(57,511)	(58,141)	(59,038)	(60,334)
Less new leases	(14,753)	(28,395)	(11,992)	(14,579)	(16,453)	(18,229)	(19,730)	(21,254)
Working capital released	3,788	8,017	16,422	11,306	11,976	11,354	9,596	9,741
FCFF	7,234	10,349	60,894	57,415	67,342	78,844	85,881	94,570
FCFF over revenue	4.8%	6.0%	28.9%	23.6%	24.6%	26.0%	26.1%	26.7%

Brackets are deductions; each column adds down to FCFF.

Balance sheet, capital employed view (Rs cr)

Rs cr	FY23A	FY24A	FY25A	FY26A
Net fixed assets incl. right of use	326,819	320,207	399,467	419,275
Net working capital	(53,669)	(57,457)	(65,474)	(81,895)
Cash and current investments	18,123	16,609	18,373	44,077
Other net assets	41,191	41,796	14,743	9,918
Capital employed	332,465	321,156	367,110	391,375
Equity, owners and minorities	106,444	105,564	153,468	195,963
Borrowings incl. deferred dues	226,020	215,592	213,642	195,412
Net debt to EBITDA, company basis (x)	2.92	2.54	2.10	1.26

Returns and working capital

Ratio	FY23A	FY24A	FY25A	FY26A
Return on equity		9.4%	34.3%	20.3%
ROCE, post-tax, ex cash		9.4%	10.9%	14.4%
Capex over revenue	28.0%	34.8%	35.3%	22.5%
Cash from operations / EBITDA	91.7%	100.8%	105.6%	102.1%
Working capital, days	(140.8)	(139.8)	(138.1)	(141.7)

Operating data (segment build)

Operating data	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
India mobile customers (mn)	373.2	385.2	395.2	404.2	412.2	419.2
India mobile ARPU (Rs a month)	255.4	266.9	291.5	312.3	324.7	337.7
India mobile EBITDA margin	60.2%	60.8%	62.0%	63.0%	63.2%	63.5%
Homes customers (mn)	14.2	17.2	20.7	24.2	27.2	30.2
Indus co-locations (000)	428.0	442.0	454.0	464.0	474.0	484.0
Africa customers (mn)	183.5	201.5	217.5	232.5	246.5	259.5
Africa ARPU (US\$ a month)	2.45	2.72	2.82	2.90	2.95	3.00
Rs per US\$	88.6	95.5	97.9	100.3	102.8	105.4

The last five quarters (company KPI workbooks)

Rs mn	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27
Revenue	494,626	521,454	539,816	553,832	585,391
EBITDA, company basis	281,668	299,190	311,436	320,382	335,986
India mobile revenue	273,966	281,167	286,516	288,305	299,289
India mobile ARPU (Rs)	250.3	255.7	258.6	257.2	263.9
India mobile customers (mn)	362.8	364.2	368.5	373.2	376.5
Africa revenue (US\$ mn)	1,415.0	1,567.0	1,684.6	1,747.8	1,852.8
Capex	83,070	113,623	117,869	160,656	133,860

Appendix 2. Valuation workings

DCF by part: India operations and Indus at the India WACC, Airtel Africa at its own

Part, Rs cr	WACC	PV FY27-31	PV fade	Terminal value	PV terminal	EV
India ops	9.96%	187,919	138,166	1,042,203	432,930	759,016
Indus	9.96%	22,714	18,531	183,011	76,023	117,268
Africa	14.03%	73,847	55,255	333,358	98,949	228,051
Total		284,480	211,952		607,902	1,104,335

Explicit years, Rs cr	FY27E	FY28E	FY29E	FY30E	FY31E
FCFF, India ops	36,890	43,109	51,062	55,661	61,118
FCFF, Indus	5,298	5,661	5,995	6,242	6,628
FCFF, Africa	15,228	18,573	21,786	23,978	26,824
Share of the year to come	75%	100%	100%	100%	100%
Years from 30 Jun 2026 (mid-year)	0.38	1.25	2.25	3.25	4.25
Present value, India ops	26,699	38,283	41,238	40,879	40,820
Present value, Indus	3,834	5,027	4,842	4,584	4,426
Present value, Africa	10,872	15,761	16,213	15,649	15,352

The fade, Rs cr	FY32E	FY33E	FY34E	FY35E	FY36E
NOPAT growth, India ops	8.5%	7.8%	7.0%	6.2%	5.4%
NOPAT growth, Africa	10.6%	9.3%	8.0%	6.7%	5.4%
Reinvestment rate, India ops	-5.2%	5.7%	16.6%	27.5%	38.4%
Present value, India ops	36,510	32,069	27,586	23,152	18,849
Present value, Indus	4,150	3,903	3,683	3,486	3,310
Present value, Africa	13,982	12,532	11,046	9,565	8,129

Enterprise value to equity (Rs cr)

EV to equity, 30 Jun 2026	Rs cr
Enterprise value, the three parts	1,104,335
Less net debt for valuation	(187,407)
Add non-operating assets	5,201
Less minorities, each at its part's DCF value	(112,799)
Equity value	809,329
Value per share at 30 Jun 2026 (Rs)	1,296.8
Rolled to the pricing date (Rs)	1,337.7
12 months on, ex-dividend (Rs)	1,470.5
Share of EV after FY31	74.2%

Sum of the parts at the target date

At 7 Oct 2027	Rs cr
India EBIT, twelve months to Jun-27	43,964
The same in the bear world	43,355
Listed stakes after the discount, rolled	144,675
India net debt at the target date	69,076
Hexacom minority, rolled	23,964
Other minorities and non-operating assets	8,569 / 5,201
Equity bridge from India EV	48,267
India at 15x: Rs a share	1,134 (-38.1%)
India at 18x: Rs a share	1,345 (-26.6%)
India at 21x: Rs a share	1,557 (-15.1%)
India at 24x: Rs a share	1,768 (-3.5%)
India at 27x: Rs a share	1,979 (8.0%)
India at 30x: Rs a share	2,191 (19.5%)

Value per share today: India WACC against terminal growth (Rs)

India WACC \ g	4.38%	4.88%	5.38%	5.88%	6.38%	Africa
8.96%	1,532	1,605	1,696	1,817	1,982	13.03%
9.46%	1,381	1,433	1,497	1,577	1,682	13.53%
9.96%	1,255	1,293	1,338	1,393	1,463	14.03%
10.46%	1,149	1,176	1,208	1,246	1,293	14.53%
10.96%	1,058	1,077	1,100	1,127	1,158	15.03%

Other readings through the full model (weights held)

One reading changed	WACC India / Africa	DCF (Rs)	Target (Rs)	Rating
As published	9.96% / 14.03%	1,338	1,946	HOLD
One group WACC, revenue-weighted	11.30% / 11.30%	1,199	1,946	HOLD
One group WACC, risk by value	10.54% / 10.54%	1,390	1,946	HOLD
Bharti's own beta	10.66% / 15.36%	1,150	1,946	HOLD
Africa at India's WACC	9.96% / 9.96%	1,580	1,946	HOLD
FY27 capex: Q2 to Q4 as FY26	9.96% / 14.03%	1,336	1,944	HOLD
FY27 capex: FY26's pattern	9.96% / 14.03%	1,311	1,905	HOLD
Hexacom: no leases as towers	9.96% / 14.03%	1,338	1,870	HOLD
Hexacom: all leases as towers	9.96% / 14.03%	1,338	1,968	HOLD
Base at today's India multiple			2,124	BUY
Base at the Jio press mark, less the mix			2,222	BUY
The Jio rule at the press mark			2,095	HOLD

Three operating cases through the full model (not the outcomes)

Operating case	Low	Base	High
Mobile ARPU FY31 (Rs)	290.4	337.7	382.0
Mobile margin FY31	61.5%	63.5%	65.0%
Revenue FY31 (Rs cr)	296,700	354,228	399,285
FCFF FY31 (Rs cr)	68,381	94,570	116,281
DCF today (Rs)	910	1,338	1,702
Target (Rs)	1,750	1,946	2,095
Rating	HOLD	HOLD	HOLD

What each case assumes (shifts to the base, every year)

Operating case: shift to the base	Low	Base	High
India mobile tariff repair (x base)	0x	1x	2x
India mobile organic ARPU growth	-1.5%	0	1.0%
India mobile net additions (x base)	0.50x	1x	1.25x
India mobile EBITDA margin	-2.0%	0	1.5%
India mobile capex	1.5%	0	-1.0%
Homes ARPU growth	-2.0%	0	1.0%
Airtel Business revenue growth	-3.0%	0	2.0%
Africa ARPU growth in constant currency	-2.0%	0	1.0%
African currencies against the US\$	-3.0%	0	2.0%

Appendix 3. Peers, the listed parts and the sector record

Peers, twelve months to June 2026 (Yahoo Finance, prices at 1 Oct 2026; Bharti from the model)

Company	EV/EBITDA	EV/EBIT	EBITDA margin	EBIT margin	ROE	Revenue growth, 3y	Net debt/EBITDA
 Bharti Airtel	11.4x	20.2x	56.9%	32.1%	19.5%	14.9%	1.4x
 Bharti Hexacom	14.9x	26.7x	53.9%	30.1%	23.9%	12.4%	0.6x
 Indus Towers	5.9x	9.7x	57.2%	34.9%	17.3%	4.6%	0.5x
 Airtel Africa	6.4x	9.5x	50.7%	34.4%	21.6%	6.9%	1.7x
 AIS	9.8x	17.3x	55.9%	31.7%	102.4%	6.8%	1.8x
 America Movil	4.5x	8.0x	42.3%	23.7%	20.4%	3.8%	1.5x
 Axiata	6.3x	14.5x	44.8%	19.4%	1.3%	-16.3%	2.7x
 CelcomDigi	7.8x	16.0x	42.6%	20.8%	9.5%	24.1%	2.5x
 MTN Group	3.5x	5.5x	46.1%	29.2%	13.6%	3.1%	0.3x
 Telkom Indonesia	3.5x	7.2x	50.2%	24.3%	14.9%	-0.1%	0.3x
 True Corporation	7.9x	24.2x	57.1%	18.7%	23.6%	13.1%	3.9x
 Vodacom	5.2x	8.0x	41.6%	27.1%	22.3%	12.1%	0.9x
 XLSmart	5.1x	n.m.	42.0%	-2.7%	-14.5%	13.4%	2.9x
EM median	5.2x	11.3x	44.8%	23.7%	14.9%	6.8%	1.8x

Medians over the EM operators only. Vodafone Idea, Turkcell and Singtel are kept out (Peer_Comparison gives the reasons). EV here uses Yahoo's net debt with leases.

Each part at its price (twelve months)

Part at its price	EV (Rs cr)	EV/EBIT	EV/EBITDA
 Airtel Africa (100%)	202,832	9.7x	6.5x
 Indus Towers (100%)	115,721	10.1x	6.2x
 Hexacom (100%)	77,310	26.7x	15.0x
 Jio, IPO mark	1,398,254	n.a.	17.4x
 India SA implied	1,237,299	24.3x	12.9x
 India ops, company basis	1,121,578	28.5x	14.6x
 Bharti consolidated	1,440,132	20.4x	11.5x

Company-reported net debt; minorities at market. The peer table uses Yahoo's net debt; Figure 19 uses minorities at book. Hence three Bharti EV/EBITDA figures.

The cost of capital each price implies

Name	EV (Rs cr)	NOPAT	Implied cost of capital
 Bharti	1,440,132	49,814	7.6%
 India operations	1,155,067	28,561	7.0%
 Hexacom	77,310	2,165	7.2%
 Tata Comm	59,430	1,593	7.1%
 Indus	115,721	8,594	10.2%
 Airtel Africa	202,832	14,616	10.1%
Bharti, full forecast and fade: India WACC			8.69%
Our WACC: India / Africa			9.96% / 14.03%

Betas: weekly regressions on each peer's home index

Peer	Levered beta	Unlevered	R squared
 Tata Communications	1.06	0.90	0.22
 Telkom Indonesia	0.99	0.92	0.45
 XLSmart	0.95	0.47	0.25
 Axiata	0.93	0.55	0.08
 CelcomDigi	0.88	0.65	0.12
 MTN Group	0.81	0.76	0.13
 Vodacom	0.66	0.57	0.17
 America Movil	0.88	0.64	0.26
 Turkcell	0.99	0.74	0.64
Median, unlevered	0.65		
Relevered at the target D/E	0.73		

What explains EM multiples

Regression across EM operators	Slope	Intercept	R squared
EV/EBIT on revenue growth	14.8	11.7	0.07
EV/EBIT on EBIT margin	(62.7)	27.9	0.21
EV/EBITDA on revenue growth	6.7	5.7	0.12
EV/EBIT on ROE	5.9	11.0	0.08

Operating history, FY19 to FY25 (Screener, March quarters)

March quarter	FY19	FY20	FY21	FY22	FY23	FY24	FY25
Mobile customers (mn)	282.6	n.a.	321.4	326.0	335.4	352.3	361.6
Mobile ARPU (Rs a month)	123	154	n.a.	178	193	209	245
Towers, India (000)	181.1	194.4	216.9	237.6	275.1	318.2	338.0
Homes customers (mn)	2.3	2.4	3.1	4.5	6.1	7.6	10.0
Africa customers (mn)	98.9	110.6	118.2	128.4	140.1	152.7	166.1

The base multiple: Hexacom restated

Hexacom on India operations' basis	Value
EV at the price (Rs cr)	77,310
EBIT, twelve months to Jun-26 (Rs cr)	2,893
Lease liabilities (Rs cr)	3,443
Share that are Indus tower leases	80%
EV on India basis (Rs cr)	74,556
EBIT on India basis (Rs cr)	2,625
EV/EBIT on India basis	28.4x
Memo: as reported / all leases as towers	26.7x / 28.9x

Appendix 4. Ownership, consensus, ratings and the risk register

Shareholding by category

Holder, 31 Mar 2026	Share
Promoters	48.87%
Foreign investors	27.79%
Mutual funds	12.03%
Insurers	6.19%
Other institutions	2.43%
Others	2.69%
Public, as reported	51.09%

The promoter holding company

Bharti Telecom	Value
Stake in Bharti, 30 Jun 2026	39.51%
Owned by the Bharti family / Singtel	50.56% / 49.44%
Gross debt, 9 Jul 2026 (Rs cr)	46,050
Debt over its stake at the market price	10.2%
Debt over FY26 dividend income	12.1x
Singtel look-through stake in Bharti	27.9%

Street targets and the consensus

Broker	Rating	Target (Rs)	Date
 Motilal Oswal	Buy	2,335	Aug 2026
 JM Financial	Buy	2,450	Aug 2026
 HSBC	Buy	2,500	Aug 2026
Consensus average (34)	Buy	2,317	6 Oct 2026
Consensus range		1,785 to 2,750	6 Oct 2026
Ours	Hold	1,946	8 Oct 2026

Credit ratings

Agency	Rating	Outlook	Action, date
CRISIL	Crisil AAA / A1+	Stable	Reaffirmed, 17 Jul 2026
CARE	CARE AAA / A1+	Stable	Reaffirmed, 8 Jan 2026
India Ratings	IND A1+		Maintained, FY26
Moody's	Baa2	Stable	Upgraded from Baa3 (Positive), 4 Nov 2025
S&P	BBB+	Stable	Upgraded from BBB (Positive), 24 Jun 2026
Fitch	BBB-	Stable	Affirmed (latest action found), 9 Nov 2023

Risk register (Rs a share)

ID	Risk	P	I	Score	Target	DCF
R1	Tariff repair slips	2	2	4	(23)	(89)
R2	Competition	3	3	9	(48)	(138)
R3	Regulation	2	4	8	(66)	(35)
R4	Africa	4	1	4	(4)	(46)
R5	Capex stays high	3	1	3	(4)	(42)
R6	Supply overhang	3	2	6	0	0
R7	Group structure	2	2	4	(21)	0
R8	Refinancing	2	1	2	(3)	(5)
R9	Sector derating	3	2	6	(24)	0
R10	The Jio Platforms price band (due in the week from 12 Oct 2026) puts Jio below Hexacom's multiple (the EV line is in Valuation_Bridge C5)	2	5	10	(227)	0
R11	Contingent liabilities crystallise	1	3	3	(31)	(31)
R12	A rating downgrade	1	1	1	0	0
R13	Rates	2	5	10	(476)	0

Monte Carlo: if the India mobile drivers move together (Rs a share)

Correlation	DCF median	DCF 5th pct	Target median	SELL share
0.0	1,267	1,087	1,927	0%
0.5, main run	1,268	1,058	1,926	0%
0.8	1,270	1,040	1,926	0%

Management guidance: three of four delivered of those checked

Guidance	By	Status
Dividend per share	FY26	Delivered
Fibre home passes a quarter	FY26	Partly
Airtel Africa capex FY26	FY26	Delivered
Prepay high cost DoT debt and keep deleveraging	FY26	Delivered
Hexacom capex FY26	FY26	Pending
India mobile ARPU	Medium term	Pending
Nxtra data centre capacity	FY30	Pending
Capital deployment outside India	FY27	Pending
Bharti Telecom stake in Bharti Airtel	Not dated	Pending
Airtel Africa capex FY27	FY27	Pending
India radio capex	FY27	Pending

Appendix 5. Method, checks, sources and disclosures

Method

- 1

Rebuild the history
Three annual reports (FY23, FY25, FY26) and 14 quarters of KPI workbooks, every input logged with its page.
- 2

Build the units
Customers x ARPU by segment; Africa in US\$; Indus by co-location; consolidation checked to the audited FY26.
- 3

Count the capital
Leases, deferred spectrum and AGR dues and the AGR provision are debt; one FCFF definition.
- 4

Value two ways
A sum of the parts with India on EV/EBIT; a DCF by part, each at its own country risk, as the cross-check.
- 5

Price three dated outcomes
Three India multiples on one method: today's, Hexacom's, and Hexacom's less the discount of Bharti's worst stall since FY19; weights from a dated event tree; the Jio rule set before the band.
- 6

Test it
Scenarios, driver values, risks and a correlated Monte Carlo through every formula the DCF and the target depend on (a formula engine.py, checked against LibreOffice).

Model integrity

Formula cells	6,424
Checks sheet	ALL OK
Formulas compiled by the engine	2,774
Of which differ from LibreOffice	0

Main sources

- Bharti Airtel annual reports FY23, FY25 and FY26; quarterly report and results Q1 FY27; KPI workbooks Q4 FY23 to Q1 FY27.
- Concall transcripts Q1 FY26 to Q1 FY27; Airtel Africa FY26 results (RNS) and Q1 FY27 report; Indus Towers Q1 FY27 report.
- Rating rationales: Crisil (Bharti, Hexacom, Bharti Telecom, Jul 2026), CARE (Jan 2026), Moody's (Nov 2025), S&P (Jun 2026).
- Damodaran country risk and EM industry betas (Jan 2026); bond yield from investing.com; NSE and BSE bhavcopies (7 Oct 2026).
- Yahoo Finance prices and peer fundamentals; Screener history; MarketScreener consensus; press reports for Jio, Vodafone Idea, the RBI and broker calls (Evidence_Ledger).

Disclosures

Prepared by Anklesh Rawat (AR). Written in the style of the CFA Institute Research Challenge; not an entry; not affiliated with or reviewed by CFA Institute. This report is for education and discussion; it is not investment advice and not an offer to buy or sell any security. Pricing date: close of 7 Oct 2026 (Rs 1,833.00 on the BSE; Rs 1,833.90 on the NSE). Free and public data only: company filings, quarterly reports and KPI workbooks, concall transcripts, rating rationales, Damodaran's data, exchange bhavcopies, Screener and Yahoo Finance prices; no paid terminal and no expert calls. AI (Claude, Anthropic) assisted the analysis, the model build and the drafting; every number traces to a cell in the workbook (Report_Data and the sheet named under each figure). The author holds no position in the stock.

Rating bands: BUY when the 12-month target is more than 15% above the price; SELL when it is more than 10% below; HOLD in between. The target date is 7 Oct 2027. Figures in Rs crore unless stated; the fiscal year ends 31 March.